Indonesia.

China is the largest trading partner of the ASEAN countries. As of 2007 Chinese trade with ASEAN is around US $202 billion. China replaced USA as the largest trading partner in 2006. Therefore, by forging strong economic ties with South-east Asian countries, India must try to cut a niche for herself in the economic sector. Growing Chinese influence in the South China Sea is of increasing strategic concern for India. The geo-strategic importance of South China Sea as far as the world shipping activities are concerned cannot be denied. In addition to this it has huge oil and gas reserves. Yet, it is at the centre of controversy as China, the Philippines, Vietnam, Taiwan, Brunei and Malaysia all have conflicting claims to parts of the South China Sea. China claims almost the entire body of South China Sea. China is also trying to restrict India's activities in the South China Sea. In November 2011, China send out a warning to India when it said that it would not allow "outside forces" and "foreign companies" to either get involved in the South China Sea dispute or engage in oil exploration with littoral states. USA too has geared up its presence in South China Sea to counter China. Under such circumstances India has to stay guard and forge more strong bonds with the ASEAN Countries in order to fulfill her economic as well as strategic interests while balancing-off Chinese threat in a rational way.

To further boost the LEP, India is making all out effort to reach out to Japan, Korea and Australia. India and Japan have entered into a global partnership after the conclusion of joint statement titled **Japan-India Partnership in the New Asian Era: Strategic Orientation of Japan-India Global Partnership** in 2006. Both concluded a Comprehensive Economic Partnership Agreement (CEPA) in October 2010 and further strengthened their global and strategic partnership. India-Japan 2+2 Dialogue is another platform for defence cooperation which is a very recent initiative. Further, both have multi-layered cooperation in several regional forums like ASEEAN Regional Forum (ARF), Regional Cooperation Agreement on Combating Piracy and Armed Robbery against Ships in Asia (ReCAPP) processes and most importantly East Asia Summit (EAS). Both have also agreed to cooperate in areas of energy, security,